

‘Designating’ the future of geographical indications

As known, a comprehensive reform of geographical indications (GIs) in the EU has just been passed, strengthening and unifying its previous quality schemes for wine, spirits and agricultural products and foodstuff, on one side, and introducing a new parallel scheme for craft and industrial products, on the other side.¹ The reform has attracted considerable attention, also for its declared correlation with the broader European strategy towards sustainability.²

While the attention is concentrated, of course, on the several new norms and their implementation in practice,³ every reform is always a milestone for any system. This represents a valuable opportunity to stop and look back at the evolutionary path of GIs and, paradoxically, to start reflecting on their future.⁴

From this point of view, the trend of the EU *sui generis* GI regime to focus more and more on the form of Protected Geographical Indication (PGI)—with respect to Protected Designation of Origin (PDO)—seems significantly confirmed.⁵ Notably, the new unified regime for agri-food and wine products has incorporated the previous one for spirits which, as known, provides for just one single form of GI, substantially coinciding with PGI, and likewise, the new parallel scheme for craft and industrial products provides for only a single form of GI, again modelled on PGI.⁶

¹Reg EU 2024/1143 on geographical indications for wine, spirit drinks and agricultural products, as well as traditional speciality guaranteed and optional quality terms for agricultural products, and Reg EU 2023/2411 on the protection of geographical indications for craft and industrial products.

²See A Zappalaglio, ‘The Law of Geographical Indications at the Centre of the European Green Deal’ (2023) 18 JIPLP 557 and more broadly F Guerrieri, ‘The Farm to Fork Strategy as an External Driver for Change: Possible Impacts on Nested GI rule systems’ (2021) 16 JIPLP 331.

³Like the new rules about agri-food-wine GIs as ingredients for processed products under art 27 reg EU 2024/1143, which has been approved with relevant differences with respect to the original proposal, indeed maintained under art 41 reg EU 2023/2411 for craft and industrial GIs, as critically analysed in B Calabrese, ‘Geographical Indications used as Ingredients or Components: a Proposed Reform in “sharp” Contrast with the Circular Economy (to say the least)’ (2023) 18 JIPLP 339.

⁴For such an approach, see D Gangjee, ‘GIs Beyond Wine: Time To Rethink the Link?’ (2017) 48 IIC 129; this is further confirmed by the debate that is now concerning GIs under other perspectives: see A Kur, ‘No Strings Attached to GIs? About a Blind Spot in the (Academic) Discourse on Limitations and Fundamental Rights’ (2023) 54 IIC 87, as well as L Dijkman, ‘Pairing Sturgeon with Champagne: Towards a Due Cause Exception in the Law of Geographical Indications’ (2023) 54 IIC 1226, following the critical declaration by A Kur et al, ‘The Need for Measures to Safeguard Undistorted Competition and Freedom of Expression In Geographical Indications Law – Opinion on the EU Commission’s Proposals for Broader Protection’ (2023) 45 EIPR 307; likewise, about other intellectual property rights, see recently C Sganga, ‘Is There Still a Policy Agenda for EU Copyright Law?’ (2023) 54 IIC 1407.

⁵Leaving aside the more marginal role of Traditional Specialty Guarantee (TSG), which indeed the reform tries to relaunch, about this tending primacy of PGIs see A Zappalaglio, *The Transformation of EU Geographical Indications Law* (Abingdon Routledge 2021) 158.

⁶Emblematically, this is confirmed by the use of the same PGI symbol according to art 37(2)(b) reg EU 2024/1143 and art 48(1) reg EU 2023/2411.

Therefore, it can easily be prophesied that the PGI model will assume an even more preponderant role in the EU system and, looking further ahead, it does not seem absurd to imagine a scenario where PGIs become so prevalent up to the point of absorbing PDOs themselves.⁷

Admittedly, a future reform that would then consider PGIs superseding PDOs would respond to a certain political rationality. It would offer the clear advantage of streamlining the system, since the provision of a unitary title would entail management simplification and efficiency, as well as an alignment of the European ‘anomaly’ with the international standards.⁸ At the same time, there would not be major disadvantages in practice, considering that the added value of PDOs is scarce, both in the eyes of consumers, who are still insufficiently familiar with these two-fold certifying symbols,⁹ and in the eyes of producers, who naturally tend to prefer PGIs as a more flexible and convenient scheme granting equal protection to PDOs.¹⁰

In fact, this formal differentiation but substantial equalization between PDOs and PGIs has always been criticized as the real contradiction—if not the ‘original sin’ in the legislative compromise—of the EU system, providing absolute protection against parasitism, beyond the standards of unfair competition for misleading practices, even to products which present a looser qualitative-territorial link in terms of reputational requirements, production steps and raw materials.¹¹ So much so that relevant solutions have been proposed by scholars to address this issue, insisting on the idea of parametrizing protection to the effective certification ‘fidelity’ of GIs.¹²

⁷Somehow, it could be argued that the reform, in expressing the preferential maintenance of the current two-fold system, reveals implicitly that the subdivision between PDO and PGI is not exempt from scrutiny: see Recital 59 reg EU 2024/1143.

⁸From this point of view, the revision of the so-called Lisbon system that doubles the definition of GIs, placing a wider PGI-style notion of geographical ‘indication’ alongside the classic PDO-style notion of geographical ‘denomination’ as appellation of origin (art 2(1) Geneva Act of the Lisbon Agreement), seems in apparent contrast with the international trend. However, such a revision is to be more correctly read as an opening towards the general model of TRIPS, which actually provides for a single PGI-style definition and does not in itself exclude the evolution envisaged here: conversely, since the EU has always been a forerunner in this field, an eventual ‘unification’ of GIs within EU law would most likely anticipate the same solution for the Lisbon system, considering its need to broaden its international basis of consensus that was the very same rationale that supported the Geneva Act.

⁹As expressly admitted by the Commission in its Impact Assessment Report accompanying the reform for agricultural GIs (SWD(2022) 135 final, 14).

¹⁰As expressly declared by the Commission since the Green Paper preparing the reform for non-agricultural GIs (COM(2014) 469 final, 16–17).

¹¹See for all D Gangjee, *Relocating the Law of Geographical Indications* (Cambridge CUP 2012) 211.

¹²See for instance I Calboli, ‘In Territorio Veritas: Bringing Geographical Coherence in the Definition of Geographical Indications of Origin under TRIPS’ (2014) 6 WIPO J 57, and also, for a humble personal reasoning, B Calabrese, ‘Rebreeding Geographical Indications

That said, a systematic look at the current reform shows a new perspective. Considering how the strengthened protection of GIs (especially in terms of evocation) seems an irreplaceable pillar of the institute for both the legislator¹³ and the courts,¹⁴ it appears unfeasible to intervene on such a level. With a certain amount of pragmatism—insofar as pragmatism can be spoken of in an academic discourse that is, by definition, more thought-provoking than effective—the alternative could then be to take advantage of the said prospective prevalence of PGIs, in order to rethink the EU system in a unified manner and, at the same time, refashion it by internalizing in PGIs what makes PDOs appreciable. In other words, if PGIs are destined to take over, perhaps PDOs might be sacrificed in a useful way, so that their merits can be preserved for the benefit of a comprehensive but improved ‘unified’ GI.

On balance, the single points of intervention to reinvigorate PGIs through PDOs would not imply any discrepancy or inconsistency in the system. As mentioned above, there are three main critical profiles that affect PGIs in this sense: reputational requirement, production steps and raw materials.

About the reputational requirement, the experience of PDOs would allow to hinge PGIs on those human factors which, if correctly intended in a historical meaning,¹⁵ already characterize an evolved notion of *terroir*: the result would be to finally eliminate any ambiguity about reputation in its mistaken dimension of mere commercial prestige, bringing it back instead to local quality traditions.¹⁶

About production steps, the recall of a more restrictive approach according to PDOs, requiring that (if not the entire cycle, at least the core and key) stages should take place within the geographical area, would remedy the current excess of PGIs, where unreasonably only one (and not even specified) step is mandated.¹⁷ this seems politically desirable, since it would foster the development of territorial clusters integrating the relevant supply chain, which reflects precisely the main legislative goal of GIs to support local traditional industries.¹⁸

About raw materials, a tighter connection with the area of origin for PGIs would have the same merit, following the PDO model of qualitative-territorial link: however, this profile is emblematic of how the system rests on delicate compromises, being admitted

for PDOs registered before 1 May 2004—so all the most important ones—the possibility of exceeding such territorial boundaries.¹⁹ Resorting again to pragmatism, valuable solutions can be figured out: one would be to generalize the rule provided for PGIs in wines, which prescribes (more strictly, but not so strictly as for PDOs) the use of local raw materials save a certain percentage of derogation, in order to leave some flexibility;²⁰ if further dispensation were needed,²¹ it could be also imposed—following a way apparently paved elsewhere by the same legislator²²—the obligation to disclose in any case the provenance of raw materials, so to drive out all those infamous cases, where formal compliance with product specification conceals a substantial deception towards consumers.²³

In truth, the idea of readjusting the EU system around the stricter regime for PDOs is not ground-breaking, to say the least. However, shifting the approach from protection to requirements seems interesting in terms of potential feasibility.²⁴ All in all, such amendments would correspond exactly to the founding rationale of GIs, so that, beyond questioning the normative details and save the necessary time for adaption, no objection could be reasonably opposed in proper policy terms.²⁵ Moreover, it would represent a reform quite circumscribed in its technical intervention, yet capable of producing significant return with regard to the credibility of the system, both at the internal level (enhancing the robustness of GIs within the EU market) and at the external level (supporting the EU expansive agenda with its international partners).

Obviously, although such an approach has been illustrated as potentially more feasible, everybody is well aware that it is nonetheless a chimeric reasoning, as almost any academic discourse intended to persuade the legislator. For sure, there is still so much to think and do about it, and even if one cannot tell—let alone ‘designate’—the future of GIs at will, it is never too early to start stimulating the debate about how to make the next reform better.

Bernardo Calabrese 

*Università degli studi di Verona (Italy).

Email: bernardo.calabrese@univr.it

Beyond Agriculture: of “genotype” and “phenotype” in Territorial Products’ in D Gervais (ed) *The Future of Intellectual Property* (Cheltenham EE 2021) 304.

¹³In fact, the legislator consolidated the current structure of GIs protection in the reform, adding the general notion of evocation elaborated in case-law under Recital 35 reg EU 2024/1143 and even directly in art 40(2) reg EU 2023/2411.

¹⁴As known, the expansive trajectory of the protection against evocation has come to cover also services with the *Champanillo* case (Case C-783/19, *Comité Interprofessionnel du Vin de Champagne* v GB, ECLI:EU:C:2021:713); on the evolution of such case law, actually (and appropriately) stopped before the form of the product as such in the *Morbier* case (Case C-490/19, *Syndicat interprofessionnel de défense du fromage Morbier* v *Société Fromagère du Livradois*, ECLI:EU:C:2020:1043, despite the different Opinion of AG Pitruzzella), see V Zafrilla and A Kyrlylenko, ‘The Ever-Growing Scope of Geographical Indications’ Evocation: from *Gorgonzola* to *Morbier*’ (2021) 16 *JIPLP* 442; for some further thoughts on the new frontiers of evocation for GIs, please concede the reference to B Calabrese, ‘The Evolving Protection of Geographical Indications Against Services: “Brand” New World?’ (2024) 55 *IIC* 348.

¹⁵In this sense, D Gangjee, ‘From Geography to History: Geographical Indications and the Reputational Link’ in I Calboli and WL Ng-Loy (eds) *Geographical Indications at the Crossroads of Trade, Development, and Culture* (Cambridge CUP 2017) 36, and Zappalaglio (n 3) 181.

¹⁶Following the preferable interpretation pointed out in the *Rioja-II* case (Case C-388/95, *Kingdom of Belgium v Kingdom of Spain*, ECLI:EU:C:2000:244, paragraph 56).

¹⁷This deficiency of the system is proven by the clarification added by the same legislator for craft and industrial GIs under Recital 17 Regulation EU 2023/2411.

¹⁸Also in terms of traditional innovation as illustrated by D Gervais, ‘Traditional Innovation and the Ongoing Debate on the Protection of Geographical Indications’ in P Drahoš and S Frankel (eds) *Indigenous Peoples’ Innovation: Intellectual Property Pathways to Development* (Canberra ANU E Press 2012) 121.

¹⁹art 46(3) reg EU 2024/1143.

²⁰art 93(1)(b) reg EU 1308/2013, which prescribes a minimum of 85% of local grapes for PGI wines (instead of 100% as for PDO wines).

²¹Certain products are surely more critical, eg chocolate: for a peculiar initiative about valorization of foreign—and even GI protected—raw materials in this field see ‘Cioccolato di Modica: the first PGI-chocolate supply chain is born’, Available at <https://news.italianfood.net/2022/09/27/cioccolato-di-modica-the-first-pgi-chocolate-supply-chain-is-born/> (accessed 15 May 2024).

²²art 26(3) reg EU 1169/2011 on food information to consumers, although not yet applicable to GIs, waiting for a specific implementing act as declared by art 1(2) Commission reg EU 2018/775 (and still to be seen what will be the actual determination of the EU legislator in this sense); in fact, this kind of obligation was supported as a corrective remedy for GIs by I Calboli, ‘Geographical Indications between Trade, Development, Culture, and Marketing: Framing a Fair(er) System of Protection in the Global Economy?’, in I Calboli and WL Ng-Loy (n 15) 3.

²³Like the ‘scandal’ of zebu meat for Bresaola della Valtellina PGI, as specifically contextualized by Zappalaglio (n 3) 202; in this sense, such a solution would contribute to bring more attention by consumers to product specifications, which has been always considered a key issue for the right functioning of the GI system: see D Gangjee, ‘Proving Provenance? Geographical Indications Certification and its Ambiguities’ (2017) 98 *World Dev* 12.

²⁴Thus, trying to take into account the practical implementation of theoretical proposals, according to academic best practices: e.g. C Geiger et al, ‘Towards a Flexible International Framework for the Protection of Geographical Indications’ (2010) 1 *WIPO J* 147.

²⁵The provision of a certain time for adaptation to new GIs rules in favour of institutions and the same producers is a usual concern of the legislator, as confirmed by this reform under arts 33(7) and 37(5) reg EU 2024/1143, as well as arts 70 and 73 reg EU 2023/2411.